



PAGERO

Country Compliance Report: **Colombia**

Information class: Restricted



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Author: Nazar Paradivskyy

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.



1. Terminology

This section outlines general and country-specific terminology for Colombia, which will be used throughout the whole document.

Term	Explanation
Acuse de recibo	This is the Acknowledgement of receipt that the buyer must issue to the supplier under the new model version 2
Attached Document	Is the XML envelope / container, where the cleared/approved DTE must be placed for the distribution to the buyer together with the DIAN Clearance Notification
Catalogue of participants	This is the register of companies engaged in the e-invoice exchange process (es. Catálogo de Participantes de Factura Electrónica). The parties registered in the Catalogue are those required to invoice electronically, those who decide to receive e-documents voluntarily, as well as service providers. All buyers must register at least one email address
CIU	This is the code that describes the economic activities (industry) of the taxpayer
Clearance	Is the process performed by the supplier or its service provider when issuing invoices and having them approved / validated by the country-specific mandatory infrastructure in order to ensure that the supplier has issued a legally valid fiscal document
Clearance Notification	Is the name of the application response from the mandatory infrastructure notifying the e-document issuer whether the e-document has been approved or rejected. The term is used by Pagero, unless there is any country-specific term for this type of responses
CUDE	This is the unique electronic document code (es. Código Único de Documento Electrónico) that must be assigned to any fiscal document which is not an invoice, e.g. credit and debit note. It is generated using the Software PIN assigned to PT, instead of the Technical Control Key
CUFE	This is the unique electronic document code (es. Código Único de Factura Electrónica) that must be assigned to any invoice. It is generated using the Technical Control Key (es. Clave Técnica de Control) obtained from DIAN. CUFE can be generated either by the taxpayer directly, or by the PT used by the taxpayer. CUFE is a complex

	range of values, which includes i.a. invoice range, invoice number, date of issue, taxes / tax types, value to be paid, Technical Control Key, etc.
DIAN	The National Directorate of Taxes and Customs (es. Dirección de Impuestos y Aduanas Nacionales) is a government agency responsible for financial regulation and tax collection in Colombia. The agency falls under the Ministry of Finance and Public Credit and is based at Bogotá
Documento Soporte	A document generated by the buyer when making transactions with a supplier that is not required to issue a sales invoice to prove the purchase of a good or a service.
DTE	Stands for Electronic Fiscal Documents (es. Documento Tributario electrónico). This definition includes but is not limited to invoices, export invoices, contingency invoices, debit and credit notes
DV	This is the verification digit, which corresponds to the last digit of the taxpayers RUT number and is auto generated
Firma digital	This is the local name for electronic signature (e-signature)
IVA	<i>Es. Impuesto al Valor Agregado.</i> Value Added Tax
MUSCA	This is the old platform used by DIAN, which is still used in certain instances, e.g. finding RUC information
NIT	This is the Tax Identification Number (es. Número de Identificación Tributaria), assigned by the DIAN only once the taxpayer enrolls in the RUT
ONAC	National Accreditation Agency of Colombia, whose main purpose is to provide accreditation services to conformity assessment bodies to certify their competence, to act as a monitoring authority in good laboratory practices of the Organization for Economic Cooperation and Development (OECD).
PT	This is the abbreviation of a (service provider) technology provider accredited by DIAN. However, it's not mandatory to be integrated with the DIAN via a PT, the taxpayer can integrate directly
RADIAN	This is the information system established by DIAN to serve as a single claim (invoice) register in Colombia, that might be utilised by finance companies in order to provide various financing solutions to the electronic taxpayers, in particular, factoring
RUT	This is the Single Tax Registry (es. Registro Único Tributario) of Colombia, which is operated by the DIAN. All taxable persons, incl. employees, must be registered with the RUT. The RUT number consist of NIT and DV
Software PIN	Each fiscal document, which is not an invoice, must include Software PIN, which is used to generate CUDE on such DTE's. The Software PIN

	is assigned either to a technical provider (PT) or the taxpayer, who is integrated with the DIAN directly
Technical Control Key	Each invoice must include the Technical Control Key (es. Clave Tecnica de Control). The Technical Control Key is used to generate CUFE on such DTE's
UVT	This means Tax Value Unit (es. Unidad de Valor Tributario). Instead of setting a range in Colombian pesos, DIAN has a UVT value that is updated at least every year



2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Colombia, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• DIAN or the National Directorate of Taxes and Customs (es. <i>Dirección de Impuestos y Aduanas Nacionales</i>) is a government agency responsible for financial regulation and tax collection in Colombia. • ONAC – the National Accreditation Body of Colombia (es. <i>Organismo Nacional de Acreditación de Colombia</i>)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Decree 1625 of 2016. • Tax Statute, articles 511, 615, 616-1, 616-4, 617, 618, 684-2, 684-4 • Law 962 of 2005 • Single Tax Decree 1625 of 2016, articles 1.6.1.4.1.1. through 1.6.1.4.1.20. • Decree 2242 of 2015 • Resolution 019 of February 24, 2016 • Resolution 055 of July 14, 2016 • Decree 1349 of 2016 • Financing Law 1943 of 2018 • Resolution 001 of January 3, 2019 • Resolution 013 of February 15, 2019 • Resolution 020 of March 26, 2019 • Resolution 030 of April 29, 2019 • Resolution 058 of September 2019 • Decree 358 of 2020 • Resolution 042 of May 5, 2020 • Technical specifications, currently, version 1.7 • Technical resolution 000015 of 2021 on the implementation of the RADIAN register of invoices as securities

	• Resolution of the Ministry of Health no. 00506 of April 19, 2021 on implementation of e-invoicing in the healthcare segment • Resolution 000013/2021 introducing Electronic Payroll mandate • Resolution 000488 of 29 April 2022, • Resolution 000085 of 08 April 2022, • Resolution 510 of 30 March 2022
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3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Mandatory
Varying invoicing regimes¹	• Single e-invoicing regime
e-Invoicing model	• PRE-CLEARANCE, meaning that the DTEs must be cleared (validated) with DIAN prior to distribution to the buyer, however, within 48 hours from the moment DTE was created
e-Invoice definition²	• An electronic invoice will only be considered as issued when validated by DIAN per VAT regulations and technical specifications, and delivered to the buyer
Scope of taxpayers the e-document mandate applies to	• The following taxpayers are mandated to issue e-documents as per decree 1625 article 1.6.1.4.2: ◦ Taxpayers responsible for VAT sales tax ◦ Those responsible for the consumption national tax ◦ Have the quality of merchants and operate in certain types of activities. ◦ Merchants, importers or service providers or in sales to final consumers. ◦ Typographers and lithographers who are not responsible for sales tax -VAT. ◦ Taxpayers registered in the unified tax under the simple tax regime -<i>SIMPLE</i>. • The taxpayers exempted on issuing e-document can be seen decree 1625 article 1.6.1.4.3:

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

Mandatory AoR (document response) process	• Mandatory • “Acknowledgment” response (<i>es. Acuse de recibo</i>), and • Buyer acceptance or rejection (AoR) message
Implementation / roll-out plan	• Implemented since 2019 and 2022 • Special technical requirements apply to the actors in the healthcare sector. More information can be found in section 10.2



4. Before switching to e-invoices

4.1. IT³ registration

Any individual or entity that undertakes an activity subject to VAT must register for VAT purposes. The requirement to register also applies to a permanent establishment (PE) of a foreign entity if the PE carries out taxable activities or business in Colombia. There are two different VAT regimes, (1) the common regime and (2) the simplified regime. All taxable persons that do not qualify for the simplified regime must register for VAT under the common regime.

Retailers, individuals engaged in agriculture and cattle farming activities, artisans and certain other taxpayers rendering taxable services may register in the National Tax Registry (*Registro Único Tributario*, or **RUT**) as VAT simplified regime taxpayers if they meet the following conditions:

- Their gross income in the immediately preceding year was less than appr. 37.000 USD,
- They have a maximum of one commercial establishment, office, premises or business where it performs its taxable activities,
- They do not use a franchise, concession agreement or royalty agreement with respect to the commercial establishment,
- They are not a permanent exporter or importer,
- In the prior year, or in the current year, they do not enter into sale agreements for goods or services exceeding appr. 37.000 USD,
- During the prior year, or in the current year, bank deposits and financial investments made do not exceed appr. 37.000 USD.

Registration procedures. Registration in the RUT register must precede initiation of economic activity. An applicant registers in the RUT by filing Form 001 with the tax authorities DIAN accompanied by hard copies of the following documents:

- Certificate of incorporation (for non-domiciled entities or non-resident individuals)

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

- ID document of the applicant or its attorney (documentation of power of attorney has to be included)
- Certificate of bank account

This procedure takes an average of 15 days. The registration in the RUT shall be valid indefinitely.

VAT number format. Tax identification number (NIT) is used as VAT number. It consists of 10 digits where the last one is a check digit in the format: "999.999.999-9"

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• To participate in the electronic invoice model, the taxpayer must belong to one of these groups: • Those responsible for Sales Tax, • Those responsible for the National Consumption Tax, • All legal and natural persons operating as freelancers, or operate in the agricultural sector, incl. selling agricultural goods or livestock, regardless of the taxpayer status, or non-taxpayers administered by the Special Administrative Unit of DIAN; with the exception of subjects not required to issue an invoice or equivalent document. • Subjects who voluntarily choose to issue invoices electronically. • Taxpayers registered in the unified tax under the simple tax regime - SIMPLE. • Registration in the Catalogue of participants • Request the Technical Control Key (es. <i>Clave Tecnica de Control</i>) in order to be able to generate CUFE
Certification process	• Each taxpayer must go through an activation process with DIAN in order to obtain the electronic taxpayer status allowing them to operate in DIAN's production environment • This process mainly consists of registering with DIAN system (in particular, providing e-mail address for DTE exchange) and selecting the mode in which the taxpayer will generate electronic invoices. Upon that, a minimum number of DTE's is required to be sent prior to being given enabled status • Once the authorization process is completed, the supplier must request new DTE numbering ranges from DIAN used for CUFE generation. These numbering ranges have fixed validity period, upon expiration of this they become invalid. The taxpayer has a possibility to cancel unused numbering ranges with DIAN.
Actions between the trading partners, e.g. customer	• Registration in the Catalogue of participants • If the buyer is not an electronic taxpayer, agree on the DTE exchange mechanism, see section 5.9 for more information

acceptance, agreement, etc.	
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	Required. Testing by DIAN as part of the certification process

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Required if the outsourcing party's digital certificate will be used to sign the issued DTE's
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	As per DIAN requirements, outlined in section 13 of the Technical annex v 1.7
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	Registration in the Catalogue of participants
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	- Registration in the Catalogue of participants - Certification by DIAN as PT (Technology Provider), which includes the following aspects (Decree 2242 of 2015): - Valid and active RUC registration - Being responsible for sales tax and belong to the common system - Valid ISO 27001 certification - Certification of the financial status of the company, signed by a public accountant or fiscal reviewer, confirming a net worth exceeding 20.000 UVT and fixed assets exceeding 10.000 UVT

- The PT certification must be renewed with DIAN after 5 years

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Colombia has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	UBL 2.1, with extensions defined by DIAN
Other document format(s) commonly used for exchange between trading parties	N.a.
Mandated platform(s) required to have connection with for e-document processing	DIAN
Other platform(s) relevant for e-document processing	RADIAN (optional). Invoice registry platform for factoring purposes (trading with AR documents).
Schematron(s), XSD schema or other official mechanisms ensuring document content	https://factura-electronica.dian.gov.co/documentacion-normatividad-16.html

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	Email address
Other technical aspects	N.a.

5.2. Communication with Dian

Regulations in Colombia foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	Web services
Manual	DIAN web portal
Other options	N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic DTE's

Let's first review the issuance and clearance process for domestic transactions.

- 1) **The supplier** – Generates the DTE, which must be digitally signed.
- 2) **The supplier** – Before communicating the DTE to the buyer, the DTE must be sent to DIAN for clearance.
- 3) **DIAN** – Once the DTE has been submitted to DIAN, the infrastructure will perform validation and clearance procedures. There is no SLA for DIAN clearance, however, most clearance decisions happen within second or minutes. The clearance response can be:
 - a. Positive: The UBL file passed the validations and becomes tax valid.
 - b. Negative: The UBL file has no tax value. The supplier must make sure to resolve the reason for rejection and resend the updated document with electronic signature. The provider may use the same invoice number and CUFE (as long as the content of the previous CUFE has not changed) when forwarding the rejected DTEs
- 4) **DIAN** – A DTE that has not been cleared by DIAN does not have fiscal value. When the DTE is rejected by DIAN, the DTE will not be registered, and the supplier should ensure to solve the reason of the rejection and resend the updated DTE with e-signature for re-processing. The supplier may use the same invoice number and

CUFE (as long as the content of the previous CUFE has not changed) when resubmitting rejected DTE's.

- 5) **The supplier** – Once the DTE has been cleared by DIAN, the supplier must communicate the cleared DTE together with the positive Clearance Notification to the buyer.
 - a. The supplier's issuance obligations are deemed as fulfilled only once the DTE has been delivered to the buyer,
 - b. There is no established timeline for when latest the supplier must have delivered with DTE to the buyer.
- 6) **The buyer** – The buyer is not obliged to validate the received DTE with DIAN, as it has received the Clearance Notification from the supplier. The buyer is however obliged to formally acknowledge receipt and approve or reject the DTE electronically, see more further below.

5.3.2. Cross-Border DTE's

This section describes the requirements for cross-border outbound documents such as sales invoices

An invoice issued by a local Colombian supplier for export of goods must comply with local Colombian requirements to successfully complete the clearance process. Such invoice will often be used by the foreign buyer as a pro-forma invoice. In order to issue an export invoice, the Colombian supplier must use a separate document type called Export invoice (es. *Factura Electrónica de Exportación*).

In all other respects, the issuance and clearance processes of the export invoices are exactly the same as for the domestic invoices.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic DTE's

This section describes the process for documents received for purchases or transactions within the given country

In Colombia, the buyer is not required to validate the DTEs issued by the supplier for their tax validity with DIAN, as the supplier is obliged to distribute to the buyer the Clearance Notification issued by DIAN. However, DIAN provides the option to control the validity of the issued DTEs:

- 1) Validating DTEs' status automatically via web services, alt.
- 2) Validating DTEs' status manually in DIAN's web portal

5.4.2. Cross-Border DTE's

This section describes the requirements for cross-border inbound documents such as purchase invoices

In Colombia, there are no explicit regulations on import invoices. Such invoices are not required to be cleared with or otherwise reported to DIAN. The trading parties are allowed to exchange import invoices directly with each other in the way and form they have agreed.

5.5. AoR (response) process

The DIAN has regulated the exchange of reception, approval and/or rejection notifications of cleared DTEs. The buyer is obliged to issue Application Response:

- 1) Acknowledgement of receipt (es. *Acuse de recibo 030*)
- 2) Rejection of DTE (es. *Rechazo de Documentos 031*)
 - document with inconsistencies (es. *documento con inconsistencias*)
 - merchandise not fully delivered (es. *mercancía no entregada totalmente*)
 - merchandise not partially delivered (es. *mercancía no entregada parcialmente*)
 - service not provided (es. *servicio no prestado*)
- 3) Receipt of goods (es. *Recepción de Bienes 032*) [OPTIONAL]
- 4) Acceptance of DTE (es. *Aceptación de Documento 033*)

All Application Responses must be issued in the UBL 2.1 format with e-signature and sent both to DIAN and the supplier. In practice they are as well sent to the supplier using other channels. The response – approval or rejection – must be provided to the buyer within 3 business days from the date of delivery of goods / services, as specified in the DTE, or if no such date has been specified from the date of the issuance of the DTE.

If no response is issued within this time frame, the invoice will be considered as automatically accepted. A credit / debit note must be issued in order to correct an already final invoice.

5.6. DIAN validations

The DIAN responds with the acceptance or rejection of the document.

- If a DTE is rejected by DIAN, it is not valid with the tax entity. This means that once the problem for which the document was rejected is solved, it is possible to resubmit the document. The DTE may be resubmitted with the same CUFÉ only if the content of the CUFÉ is not changed after corrections.
- After obtaining the approval of DIAN (approval or approval with restraints), the issuer of the document may prepare the DTE to be sent to the client immediately

together with the positive Clearance Notification from DIAN, both wrapped into a single XML-based envelope.

The DIAN response may have the following statuses:

- **Approved** (es. *Usó autorizado por la DIAN 02*): If the DTE fulfils the required validations, in which case the DTE obtains the full tax validity.
- **Approved with observations**: If the DTE complies with the established validations and therefore, already has tax validity, but there is data in the DTE that, due to an audit, could be remarked.
 - The list of observations is predefined and can be found by selecting “Caja de Herramienta” on <https://factura-electronica.dian.gov.co/documentacion-normatividad-16.html>
- **Rejected** (es. *Usó No Autorizado por la DIAN 04*): If the DTE fails to meet the established conditions. In this case, the DTE does not obtain the tax validity. This is the only scenario when DIAN allows resubmission of the DTE with the same serial number.
 - The list of rejections is predefined and can be found by selecting “Caja de Herramienta” on <https://factura-electronica.dian.gov.co/documentacion-normatividad-16.html>

More information can be found at

http://www.facturaenlinea.co/Anexos_tecnicos_Validacion_previa_DIAN.pdf

5.7. Invoice presentation / copy

The supplier is obliged to create a graphic representation of each cleared DTE. Such representation must include a QR code, the Unique Electronic Invoice Code (CUFE), and validation date and time of the DTE, as well as the link to DIAN which allows for online validation. A graphical representation of the DTE must be printed out (can be done on a regular paper) to be carried while transporting.

It is however, not required to deliver the graphic representation to the buyer when delivering the DTE.

5.8. Distribution between taxpayers

Exchange of DTEs between the taxpayers is strictly regulated in Colombia and differs depending on whether the buyer has the status of electronic taxpayer or not.

If the buyer is an electronic taxpayer (i.e. registered in the Catalogue of e-document exchange participants), then it is obliged to state in the Catalogue of participants how they want to receive DTEs:

- Via e-mail to the address provided by the buyer, or
- Via electronic exchange between the supplier and the buyer, provided a prior agreement (no explicit requirements to such agreement).

If the buyer is not an electronic taxpayer, then one of the following methods must be agreed upon between the trading parties:

- By providing a printed graphic presentation of the DTE, or
- Via e-mail to the address provided by the buyer either (a) as a graphic presentation of the DTE or (b) as structured DTE file together with Clearance Response from DIAN containing value: "Document validated by the DIAN", included in an electronic container, or
- Via electronic exchange between the supplier and the buyer, provided a prior agreement (no explicit requirements to such agreement) either (a) as a graphic presentation of the DTE or (b) as structured DTE file together with Clearance Response from DIAN containing value: "Document validated by the DIAN", included in an electronic container

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

If an e-invoice or a DTE is required to be rectified, the supplier must first issue a credit or debit note and afterwards a new e-invoice.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note
What are the options to correct an invoice if the customer returns the goods	• Credit note from the supplier
What are the options to correct an invoice if the customer paid too much	• In case that the customer paid too much erroneously the overpayment has to be paid back to the customer and no invoice correction is necessary.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note
Other scenarios with different correction option	• No
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
	• No

Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document

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5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Not possible. The original invoice will always be in structured format
Whether any conditions apply, and which, to the dematerialisation	• N.a.
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• No information currently available
Whether any conditions apply, and which, to the materialisation	• No information currently available

5.11. Contingency invoicing

DIAN differentiates between two contingency scenarios

- 1) Contingency due to issues in the taxpayer's side, and
- 2) Contingency due to issues on DIAN side

In both scenarios, the supplier is allowed to issue invoices directly to the buyer, this can be done as well on plain paper. Once the reason for the contingency ceased, the supplier must within 48 hours report DTE issued during this time to DIAN. In the first scenario using the document type 03 (supplier contingency invoice) and in the second scenario using the document type 04 (DIAN contingency invoice).

When a taxpayer is offline, they cannot issue documents using CUFE or CUDE, they must therefore apply a separate number range for DTE's issued in the contingency mode.

Contingency mode is not provisioned for issuance of credit or debit notes. These DTE's must be issued (generated) in normal operations.



6. Document content requirements

6.1. Document types

Item	Commentary
DTE's mandatory for issuance by supplier	• Electronic invoice ("<i>Factura Electrónica 01</i>") • Electronic export invoice ("<i>Factura Electrónica de Exportación 02</i>") • Electronic contingency invoice, incl. the Supplier contingency e-invoice ("<i>Factura electronica de contingencia emisor 03</i>") and the DIAN contingency e-invoice ("<i>Factura electronica de contingencia DIAN 04</i>") • Electronic credit note ("<i>Nota de Crédito Electrónica 91</i>") • Electronic debit note ("<i>Nota de Debito Electrónica 92</i>") • Electronic payroll ("<i>Documento Soporte de Nomina Electronica</i> or <i>Nomina Electronica</i>"). More information under section 10.4 • AttachedDocument (XML envelope that includes the DTE and the Clearance response)
Documents mandatory for issuance by buyer	• Application Response (from the buyer) ○ Acknowledgement of receipt (<i>Acuse de recibo 030</i>) ○ Rejection message (<i>Rechazo de Documentos 031</i>), incl. rejection reasons ○ Goods receipt note (<i>Recepción de Bienes 032</i>) [OPTIONAL] ○ Approval message (<i>Aceptación de Documento 033</i>) • Electronic Support document (<i>Documento Soporte Electrónico</i>)⁴

Item	Commentary
Self-billing allowed	• Yes • Only for "documento soporte", when the supplier is no table to generate an invoice
Simplified invoice allowed	• Yes

⁴ This document is intended to prove the purchase of a good or service, which the buyer must generate when making transactions with a supplier that does not issue an e-invoice. Electronic support document must be implemented no later than 31st January 2022.

6.2. Document numbering and CUFE/CUDE

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

The taxpayer must assign numbering to the DTE's for the internal control purposes. DTE accepts that this element is from 1 to 25 alphanumeric characters.

However, the taxpayer must apply for the Technical Control Key (es. *Clave Tecnica de Control*), which is used in order to generate CUFE when issuing invoices. DIAN does not accept invoices without CUFE. When generating CUDE (all other DTE's besides invoice), the Technical Control Key is not needed. However, this requires the Software PIN.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes • The sequence of the electronic tax receipt has a structure of 1 to 25 alphanumeric characters. It does not allow zeros to the left.
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes • Prefixes composed of four (4) letters, numbers or their combination are allowed. They must be used when there is more than one business establishment, headquarters, office, premises, point of sale or places where they develop their economic activities in which they are issue DTEs
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section must describe any additional numbering, also provided by the tax authority or that must be generated by the taxpayer based on specific specifications.

Numbering authorization must also be requested for check book or paper invoices, which apply for contingency operations, for contingency. In the same way, the numbering

ranges and prefixes must be associated; when entering, in the "Electronic Billing" system, where the ranges that were previously authorized in the MUISCA information system will automatically appear.

6.3. Indirect tax (IT)⁵ rates

This section illustrates the applied IT⁶ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
19%	Standard	The standard 19% rate applies to all supplies of goods or services unless a specific provision allows an exclusion from VAT or the application of a reduced or zero rate
5%	Reduced	Toasted coffee, Wheat, Sugar cane, Cotton seeds, Soy, Rice, Prepaid health services, Health insurance, Storage of agricultural products, The first sale of homes of less than 26.800 UVTs
0%	Exempt	In Colombia, the term "exempt supplies" refers to supplies of goods and services that are subject to VAT at the zero-rate (0%) tax rate. <u>Examples of exempt supplies:</u> Exports of movable, tangible goods if the exporter is registered with the National Tax Registry (RUT), has received a taxpayer identification number and can, at the request of tax authorities, provide proof of agreements to provide exports, such as contracts, offers or purchase orders; Services rendered exclusively in Colombia and used exclusively abroad by companies or individuals who are not engaged in business in Colombia (Companies not engaged in business in Colombia include companies that are direct beneficiaries of the services, the VAT exemption does not extend to related parties such as a subsidiary, branch, affiliate, representative office or home office in Colombia); Tourism, if rendered to non-residents in Colombia used in the country for the benefit of a company that is registered in the National Tourism Registry and promotes tourism by engaging in certain qualified activities; Purchase or sale of foreign currency and derivatives
	Excluded	The term "excluded supplies" refers to supplies of goods and services that are not subject to VAT. <u>Examples of excluded supplies:</u> Some goods and services that cover basic needs; Utilities; Restaurant services; Interest and exchange differences; Specific digital services, such as educational media for regulated government content, hosting, cloud computing and provision of webpages, as well as remote maintenance of hardware and software

⁵ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁶ Local name "Impuesto sobre el valor agregado" (IVA)

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Colombia. However, the issuance via DIAN requires more data elements to be present in the DTE:

General	
Required to mention the word "invoice"	Yes, it must specify "factura electrónica de venta"
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	DTE's must be issued in Spanish, besides export DTE's, which can be in any language
Sequential numbering	Yes, see section 6.2.1. above
Required to mention copy or duplicate in case a copy is issued	No
Reference in case of outsourced issuance	Name and surname or company name and NIT of the PT (service provider).

Supplier data	
Full legal name of the supplier	Yes
Allowed to abbreviate or shorten the legal name of the supplier	No
Full address of the supplier in country of establishment	Yes
Allowed to mention the PO box address instead of the legal address of the supplier	No
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	Yes, NIT number
IT identification number of the supplier in the country of establishment	Yes, NIT number
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	Yes, when relevant
Legal form of the supplier	No
Trade register number of the supplier	Yes, NIT number
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	No
Place of legal seat of the supplier (Headquarters)	Yes
Other supplier data	Type of taxpayer, large taxpayer or simple regime.

	• Quality of VAT withholding agent • E-mail address to receive return communication
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Customer data	
Full legal name of the customer	• Yes • The natural persons must be identified with their name, surname and document number. If this data is not available, the name must be identified with the phrase "final consumer" and with the citizenship identification document (13) with the number "222222222222"
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• Yes
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Sí
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Sí
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• N.a.
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• When relevant
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date
Date of prepayment	• No
Description of the goods/services	• Yes. Detailed description and exact codes that allow the identification of the goods or services provided.

Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• Sí. Multiple service orders or referrals can be specified.
Shipped from location (for the supply of goods)	• Yes
Shipped to location (for the supply of goods)	• Yes
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended
Incoterms	• Yes, specifically for exports.
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Invoices may be issued in a foreign currency but must be paid in Colombian pesos (COP) unless the customer is a foreign entity. When transactions take place locally, the VAT amount must be converted to pesos using the market exchange rate on the date of the transaction. The Colombian Central Bank manages the exchange system
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• Yes.
Which exchange rate must be applied in order of priority	• The Colombian Central Bank manages the exchange system
Terms of payment	• The form of payment: cash or credit, in the latter case the term must be indicated.

	The means of payment: cash, credit card, debit card or electronic transfer or other means. This requirement applies when the form of payment is in cash
IBAN and BIC number of supplier	No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	Yes.
List the required references in case of exemption or reverse charge	It must be reported in the "cbc field": Percent field of the TaxTotal group according to the reported tax.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - "Transfer of own goods- article 17 VAT Directive"?	N.a.
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	No
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	No
Specific references required in case invoicing is outsourced	There is no specific wording necessary. The DTE's must specify the name and surname or company name and NIT of the PT (service provider)
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	No
Other specific requirements/references to be mentioned on an invoice	No

The detailed overview of the mandatory DTE content can be found on DIAN website:

- <https://factura-electronica.dian.gov.co/documentacion-normatividad-16.html>
- http://www.facturaenlinea.co/Anexos_tecnicos_Validacion_previa_DIAN.pdf

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes • In Colombia there is no simplified invoices, but there is another type of invoice called "<i>documento equivalente</i>", which includes fewer requirements than the electronic sales invoice.
Maximum amount for simplified invoices	• For POS, the ticket cannot be higher than 5 UVT before taxes.
Other supplies for which a simplified invoice can be issued	• Hardware machine operation POS • Cinema ticket • Transport ticket • Extract • Air transport ticket • Gambling machines ticket • Other type of gambling ticket • Tool ticket • Stock market trading document • Other type of commodity ticktes • Ticket for several public services • Public events ticket
Simplified invoices limited to certain type of supplies	• N.a.
Simplified invoices not allowed for certain transactions	• N.a.
Minimum content requirements on a simplified invoice	• N.a.
Invoices subject to the national invoice requirements (not self-bills)	• N.a.
(other) Invoices subject to the national invoice requirements (not self-bills)	• No

6.6. Rectification document

In Colombia, credit and debit notes are issued in order to rectify erroneous invoices. The rectifying document must include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Related Invoice number • Date of issue of the related electronic sales invoice. • Note type code • Quantity of the product or service • Unit of measurement • Applicable Tax • Product code • Inform if they are commercial samples
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No
Reason for credit required	• No. However, there is a free text field to report the discount reason.

Sequential numbering	
Separate sequential credit note numbering required	• Yes, sequential numbering by the taxpayer's system
Allowed to issue one credit note to correct different invoices	• No

6.7. Optional DTE content

DIAN offers the possibility for the businesses within specific sectors and industries to request standardisation of additional data elements by DIAN within the available UBL 2.1 syntax. Upon request and successful review by DIAN, the authority will approve and tailor for such additional values. If approved, such will be published in technical annexes to the e-invoicing schema in Colombia. Such additional values will not be validated by DIAN.

Therefore, there is constantly new content that can be added to the invoice. This content is specific for each sector. New version of technical annex will be operative from 18 August 2021. Detailed overview of the technical annexes content can be found on DIAN website:

<https://www.dian.gov.co/impuestos/factura-electronica/Documents/Presentacion-Control-de-Cambios-Anexo-Tecnico-1-8.pdf>



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• E-signature	• E-signature
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Allowed, upon signing of an explicit Mandate contract and registration of the third-party with DIAN. The taxpayer will be able to upload such Mandate contract with DIAN using a dedicated FTP channel	

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• The XMLDSig standard with XAdES-EPES format must be used. DTEs must be signed with a digital certificate from the Certification Entities duly authorized by ONAC

	issued to the taxpayer or the PT selected by the taxpayer
Automated e-signing	• Allowed
Time-stamping of e-signature	• No explicit additional requirements

7.2. e-Signature validation

E-signature validation by the receiving party is not required in Colombia, as this is performed by the mandatory infrastructure.

Item	Commentary
Validation upon receipt	• It is optional to do the validation of the digital certificate upon receipt of the e-document.
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the e-Invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Issued, received and cancelled invoices, credit / debit notes with e-signature • Clearance notifications from DIAN • Reception acknowledgement issued by the buyer • Rejection notification issued by buyer (Approval notification is optional for archiving) • Proof of delivery of the DTE to the buyer in cases of contingency • XML file in which contingency documents were communicated by supplier to DIAN
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• No explicit additional requirements
Retention period for invoices not related to immovable property⁷	• 10 years
Start point of retention period calculation for invoices not related to immovable property	• From January 1 of the following year in which the DTE was issued

⁷ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for e-invoices related to immovable property	• N.a
Start point of retention period calculation for invoices related to immovable property	• N.a
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a
Outsourced archiving	• Allowed
Archiving abroad⁸ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Allowed. Availability of the DTEs at taxpayer's domicile must be guaranteed at all times during storage
Other requirements in relation to electronic document retention	• No explicit additional requirements

⁸ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, see section 10.1 further
Transportation documents	• Yes
Other	• N.a.



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

Penalty for issuing invoices without requirements (1% of the value of the operations invoiced without the requirements). No invoice (closure of the business establishment for 3 days).

10.2. E-reporting

Tax Authority requires that companies report all operations with their clients, providers, employees or any third-party by national and municipal reports. The reports of these fiscal transactions are called Medios Magnéticos. These reports require the companies to process accounts payable, accounts receivable, and general ledger transactions by third party. For the national report, there is a format split by each item (liabilities, purchases, payroll, income, VAT, AR).

Location of taxpayers in scope

It only applies to individuals (tax residents) or legal entities established in Colombia.

Registration threshold

The taxpayers obliged to report the magnetic media are established each year in the resolution issued by the Tax Administration, so each taxable year the resolution must be reviewed to determine whether or not they are obliged to report. Individuals that during the taxable year have obtained gross income over five hundred million Colombian pesos (\$500.000.000 COP) and that the sum of the gross income obtained from capital income and/or non-labour income during the taxable year exceeds one hundred million Colombian pesos (\$100.000.000). Individuals and legal entities, public and private entities and other entities obliged to apply withholdings and self-withholdings for income tax, VAT

and stamp tax during the taxable year. Permanent establishments of non-resident individuals and foreign legal individuals and entities.

Summary of the types of data to be reported

The following information shall be included in the reporting, which must match with the accounting and tax statements "

- Form 1001: Payments or credits on account: costs and expenses declared in the income tax return.
- Form 1003: withholdings in favour.
- Form 1004: Tax credits.
- Form 1005: Deductible VAT.
- Form 1006: VAT Generated.
- Form 1007: Income.
- Form 1008: Accounts Receivable.
- Form 1009: Accounts Payable.
- Form 1010: Information of Partners, Shareholders or Co-owners.
- Form 1011: Tax Statements.
- Form 1012: Shares and bond contributions.
- Form 1647: Income received for third parties.
- Form 2275: Income not constitutive of income tax or occasional gain tax.
- Form 2276: Income from employment and pensions.

Submission process

Electronic upload of data to the tax authority's portal.

E-Reporting file format XML

Submission frequency Other

Additional information Annual

Implementation date

The obligation to submit magnetic media report for public and private entities became mandatory in 2005 (for the reporting period FY2004).

Penalties

Article 651 of the tax statute establishes the penalties for not sending information or sending it with errors, as follows: A fine not exceeding seven thousand five hundred (7,500) UVT, which shall be set taking into account the following criteria:

- One percent (1%) of the amounts in respect of which the required information was not provided
- Zero point seven percent (0.7%) of the amounts with respect to which the information was provided incorrectly

- Zero point five percent (0.5%) of the amounts for which the information was provided out of time
- When it is not possible to establish the basis for assessing the penalty or the information has no amount, the penalty shall be zero point five (0.5) UVT for each piece of information not provided or incorrect, which may not exceed seven thousand five hundred (7,500) UVT.

Other useful information

When a company is going to end its operations, it must file this report with the cut-off date on which it has liquidated.

10.3. VAT returns

VAT returns are filed bimonthly during March, May, July, September, November and January by large taxpayers, which are those with gross revenues equal to or higher than 92.000 UVT (tax value unit or unidad de valor tributario), or approximately 1 mUSD. Taxpayers with gross revenues between lower than 92.000 UVT (1 mUSD) file VAT returns every four months during May, September and January. Returns must be filed electronically, and payments made directly using the financial system considering the due date set by the government every year.

10.4. Healthcare sector

The following type of entities must follow the additional requirements aimed specifically on the healthcare sector in Colombia:

- Health service providers,
- Public health laboratories,
- The logistics operators and pharmaceutical managers,
- Entities that, within the framework of their legal functions, must deliver the data from the Individual Registry for the Provision of Health Services - RIPS to the General System of Social Security in Health,
- The Health Promoting Entities (EPS)
- The adapted entities,
- The territorial entities,
- The occupational risk administrators - ARL in the health component,
- Insurance companies authorized to offer Compulsory Traffic Accident Insurance - SOAT policies,
- The entities that offer voluntary health plans,
- The Administrator of Resources of the General System of Social Security in Health - ADRES.

Besides following the overall e-invoicing requirements, such entities must ensure compliance with the additional content requirements in the exchanged e-document.

10.5. Electronic payroll mandate

The Support Document for Electronic Payroll (e-payroll) It is a new digital document intended to support and validate the payroll related costs and deductions of income tax and the VAT credits (if applicable) when businesses make payments resulting from labour, legal, and other similar types of relations (pensions). In simple terms, labour cost transactions should be reported under this new digital system for them to be valid. This is whenever employers make payments for wages, salaries, reimbursements, pensions etc.

Scope of the mandate

All employers paying wages under a labour relation, where payments are reported as expenses for income tax purposes or as deductible taxes for VAT. With a number of exceptions that include, but are not limited to public offices, non-for-profit entities or taxpayers under the simplified regime.

Implementation schedule

Group	Mandatory from	Number of employees
1	01.09.2021	>205
2	01.10.2021	101-250
3	01.11.2021	11-100
4	01.12.2021	<10

Deadline for remittance

The *Nomina Electronica* is required to be reported monthly, the payments for each month should be reported by the 10th day of the next month. The adjustment notes should be reported within the same deadline, once they have been made by the employer.

Reporting documents

There are two basic types of reports that are parts of this mandate: the e-Payroll itself and, when necessary, the Adjustment Note.

1) E-payroll

It contains the information supporting the payments made to employees as wages and other compensations, deductions and the difference between them made by the employer, as reported in the payroll. The employer must then generate and transmit the document to DIAN using the XML format established in the technical documentation included in the regulation 000037/2021.

2) Adjustment Notes

However, when an employer needs to make corrections to e-Payroll reported to DIAN, it can issue Adjustment Notes (or *Notas de Ajuste*) where the employer will be allowed to correct any value previously reported to DIAN. It works similar to Credit notes.

Content and structure of the reports

Employers must submit reports to DIAN per each beneficiary receiving payments. The e-Payroll requires the provision of some mandatory information i.a. proper identification of the report itself, the reporting party, in addition to the employees, wages or other payments employees, date, numbering, software etc. Another mandatory information element is CUNE (Unique Code of e-Payroll), which is unique allowing exact identification of each report or the Adjustment Notes issued after it.

From a technical perspective, neither e-Payroll nor the Adjustment Notes are based on the UBL 2.1 used in Colombia for e-invoicing, as this document type is not supported by the format. Different XML standard is used for this. Each report requires an e-signature. For that, the taxpayer can use the same digital certificate used for signing e-invoices.

Generation, transmission and validation

The current regulations do not require these reports be generated by a particular software or by a provider authorized by DIAN. Taxpayers should use their own solution or use the solution provided for small taxpayers by DIAN. However, all reports should strictly follow the technical documentation under the Resolution 000037/2021.

After making the transmission, DIAN will validate the document and return a corresponding application response to the taxpayer, indicating its acceptance and validation. Only upon a successful validation, will the amounts reported in the payroll document be valid expenses for the deduction.

Penalties and sanctions

Non-compliance with e-Payroll will be subject to the same fines and penalties established for not complying with the e-invoicing mandate, as defined in Art. 652-1 of the Tax Code of Colombia (*Estatuto Tributario*). But the most important implication of non-compliance is that any payment not reported by the employer, will not be allowed as expenses for income tax or VAT purposes when applicable

10.6. Future developments

This section outlines to-date announced further changes and enhancements of the Colombian e-invoicing model.

Sectorial format extensions

Representatives of certain sectors or industries will be entitled to request from DIAN implementation of extensions to the mandatory elements defined UBL 2.1, so that additional information can be included in e-invoices in a structured manner, besides what has been mandated by DIAN. If approved, such will be published in technical annexes to the e-invoicing schema in Colombia. Such additional elements will not be subject to validation by DIAN.

Health sector extensions

The Ministry of Health ([MinSalud](#)) has established a healthcare-specific extension for those issuers from the Health care sector. The deadline has been extended until 31 March 2022 on [Resolution 0001526](#)

RADIAN

Is the information system established by DIAN to serve as a single claim (invoice) register in Colombia, that might be utilised by finance companies in order to provide various financing solutions to the electronic taxpayers, in particular, factoring.

On 11th February 2021, DIAN have published [technical specifications](#) for the use of RADIAN system, which are to be adopted by the taxpayers within 3 months from the publication.

Pilot phase of the programme started in April 2021.

In 18 August 2021 it has become mandatory for taxpayers the adoption of RADIAN.

Other developments

During 2020-2021 DIAN will be implementing the following elements in the e-invoicing system:

- Electronic equivalent document (cash sales receipt),
- Payments in favour of subjects not responsible for VAT,
- Salary statements,
- Exports and imports and other documents related to customs operations,
- Supports of costs, expenses and deductions and other types of electronic supports that facilitate the fulfilment of tax obligations.

10.7. Days without VAT

The Colombian government trying to push the economy and increase the consumption, the government has appointed three days in 2021 when taxpayers will not pay any VAT. These three days are (different days can be expected every year):

- 28 of October 2021
- 19 of November 2021
- 3 of December 2021

Therefore, It is expected that people spend more money in the national economy, however, It only applies for goods of these categories:

1. Clothes and shoes
2. Household appliance
3. Sports related goods
4. Toys and games
5. School goods
6. Goods and services for the agricultural sector

In these 3 days, taxpayers issuing a invoice will have to do it in the contingency method explained in [section 5.11](#). The document issued in contingency method must be reported to DIAN in the next 15 calendar days.

[Resolution 000117](#)**10.8. B2C**

Transactions where the recipient is a final consumer, generally are done by the issuance of simplified invoices. In the case of Colombia, the simplified invoices are named "Equivalent Document" – Sp. *Documento equivalente*. Equivalent documents are:

1. Hardware machine operations POS
2. Cinema tickets
3. Transport tickets
4. Extracts
5. Air transport tickets
6. Gambling machines tickets
7. Other type of gambling tickets
8. Toll tickets
9. Stock market trading documents
10. Other type of commodity tickets
11. Ticket for several public services
12. Public events tickets

Taxpayers using the equivalent document n.1 from the list above (POS), will need to apply a limit of five (5) UVT before taxes following the calendar from below:

Group	Maximum date for applying the 5 UVT limit	Taxpayers
1	01 of February 2023	Large Taxpayers
2	01 of April 2023	Taxpayers with income tax declaration
3	01 of May 2023	Taxpayers not doing income tax declaration
4	01 of June 2023	Rest of Taxpayers

If the 5 UVT threshold is surpassed, then a standard e-invoice shall be issued.



11. Country-specific processing

In Colombia, Pagero uses the services of our strategic partner Signature South Consulting Colombia S.A.S.

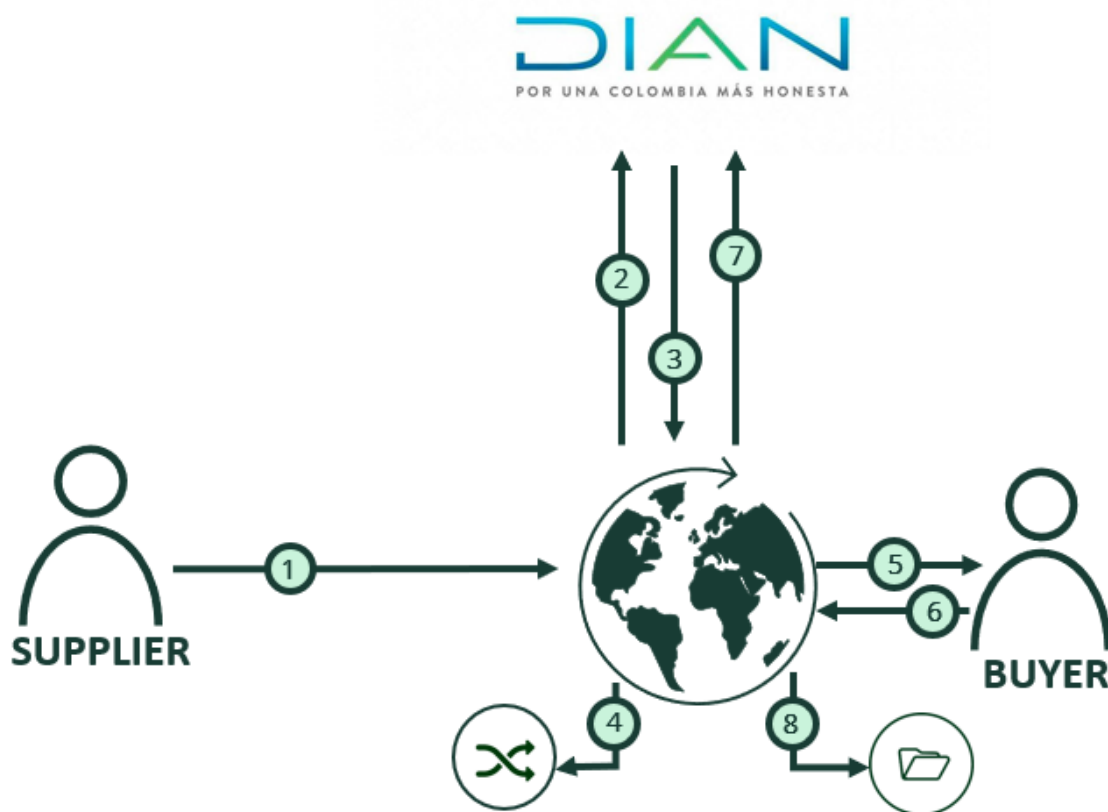
11.1. Document issuance (AR) with Pagero



- 1) Supplier provides data in supplier preferred format to Pagero
- 2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- 3) PAGERO sends the e-document to DIAN in a mandatory format according to a mandatory exchange protocol
- 4) PAGERO receives Clearance Notification (approved / rejected) from DIAN in a mandatory format
- 5) PAGERO sends the Clearance Notification to the supplier in supplier format
- 6) PAGERO sends the cleared e-document to the receiving service provider RSP/buyer
- 7) RSP/buyer sends the receipt of notification (approval or rejection) in the mandatory format

- 8) Pagero sends the buyer notification to the supplier on their preferred format
- 9) RSP/buyer sends the validated e-document and other relevant artefacts to the buyer in buyer format

11.2. Document reception (AP) with Pagero



- 1) SSP/supplier sends the cleared e-document to PAGERO
- 2) PAGERO sends the received e-document for validation to DIAN
- 3) PAGERO receives Clearance confirmation or mismatch from DIAN
- 4) PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.
- 5) PAGERO sends the validated e-document and other relevant artefacts to the buyer in buyer format
- 6) Buyer sends receipt of notification (approval or rejection) to PAGERO in buyer format
- 7) PAGERO converts the receipt of notification to the mandatory format and sent it to DIAN and the supplier
- 8) PAGERO archives all relevant document on behalf of the buyer



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
2020-02-24	Document created
2021-06-15	Section 10.3 and 10.4 added
2021-08-17	- Section 6.7: New version of optional DTE content - Section 6.1: Extension of the implementation date for “Electronic support document” (food note).
2021-10-20	Document content updated to a new template
2021-11-10	Section 10.6 added: Days without VAT
2022-10-07	Content review and update where relevant
2023-05-17	Updated section 3, section 5.3.1, section 6.1, section 6.5, section 7.2, section 8. Added section 10.6
2023-07-28	Section 10.1: Added penalties